Do Japanese companies not know how to use money?

CAPITAL ALLOCATION / 01 | The real issue is where excess capital goes, rather than a capital shortage

Conclusion

Some Japanese companies have prioritized safety and built large cash holdings, leaving more capital inside the company than is necessary.

The important distinction

Large cash holdings are not bad in themselves. The issue is whether the cash is necessary for crisis response or is surplus capital with no use.
When does “defensive management” turn into “inefficiency”?

Why do Japanese companies hold cash?

CONSERVATIVE MANAGEMENT / 02 | Think of management and financial conservatism, separately from accounting conservatism

Holding cash

Stabilizes liquidity and makes it easier to withstand unexpected shocks such as recessions and financial crises.

Investing

Capital expenditure, R&D and M&A carry failure risks. Without investing, responsibility for such failures is less likely to arise.

There is therefore a rationale

Prioritizing safety by maintaining substantial funds is rational. Accumulating unlimited cash solely “for safety,” however, is a separate matter.
Safety reserves ≠ surplus funds.

When safety lowers capital efficiency

CAPITAL EFFICIENCY / 03 | A simplified example

Capital ¥10 billion → profit ¥1 billion
Return: 10%
↓ Accumulate ¥10 billion of unused cash
Capital ¥20 billion → profit ¥1 billion
Return: 5%

The company has become safer, but its ability to grow capital has declined.
This is the trade-off between safety and capital efficiency.
How to use each extra yen: that is management.

A weakness can become a margin of safety

VALUE INVESTING / 04

Some companies accumulate cash and securities through overly conservative management, while the market does not fully recognize their value.

Graham’s perspective

Is the share price sufficiently low relative to asset value? Management inefficiency can create a “margin of safety” in the stock price.

Buffett’s perspective

Having many assets is not enough. Can excess capital be reinvested at high returns? If not, can it be returned appropriately to shareholders?

What investors examine

Net cash, operating cash flow, P/B, ROE and ROIC. Most important is “how management will use the excess capital next.”
Japanese companies’ “inefficiency” can become an opportunity for value investors.